

mismatches between assets and liabilities make international balance sheets less useful for determining intrinsic and liquidation values.

Graham and Dodd name “uncertainties of the future” as the second challenge in determining intrinsic value. Volatile economies, substantial currency risks, and unexpected changes in regulations and politics make predicting the future more challenging in many countries outside the United States.

The third challenge Graham and Dodd identify is the risk that should “the irrational behavior of the market” persist long enough, then a security’s intrinsic value could decline due to changes in a company’s fundamentals in the interim. This risk is enhanced in international and especially developing markets, not only because of added macroeconomic and financial risks, but also due to potential actions by a controlling shareholder that can harm minority shareholders.

In short, it is evident that investment risks are greater in international markets, which makes the determination of intrinsic value more difficult and its persistence more vulnerable. While investing in high quality companies with strong management is an important mitigant to these elevated risks, a prudent investor must demand a larger discount to intrinsic value—a greater margin of safety—when investing in a foreign security.

Another reason to seek greater margin of safety in international markets is the greater volatility caused by thin liquidity and more fickle capital flows. This volatility is not limited to emerging markets. The small markets of Amsterdam, Brussels, and the Nordic countries are dominated by a few major companies; the other listed companies in these markets attract only limited investor interest. These factors can drive market prices to deeper discounts to intrinsic value than is typical in the United States. As Figure 1 indicates, emerging markets traded at price-earnings multiples that were at a 50% to 60% discount to the U.S. market during 1998–1999 and 2001–2002. Conversely,